

factories, and the stock lost 16% in a single day. That took J & J's share price down from 24 times the previous 12 months' earnings to just 20 times. At that lower level, Johnson & Johnson might once again have become a growth stock with room to grow—making it an example of what Graham calls “the relatively unpopular large company.”⁹

This kind of temporary unpopularity can create lasting wealth by enabling you to buy a great company at a good price.